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RESTRUCTURING PAPER

ON A

PROPOSED PROJECT RESTRUCTURING
OF
ROAD MAINTENANCE PROJECT
LOAN 7406-PA
AUGUST 24, 2006

TO THE

REPUBLIC OF PARAGUAY

June 6, 2012

ABBREVIATIONS AND ACRONYMS

IGAP	Improved Governance Framework Action Plan
MOPC	Ministry of Public Works and Communication *(Ministerio de Obras Publicas y Comunicaciones)*
PDO	Project Development Objective

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Extension of Closing Date

PARAGUAY — ROAD MAINTENANCE
P082026
LOAN 7406-PA

Restructuring Paper

1. The closing date for *Paraguay, Road Maintenance, Loan No. 7406-PA, P082026* will be extended from June 30, 2012 to February 28, 2014.

2. The project was approved by the Board on August 24, 2006 but took some time to be declared effective (due to difficulties in meeting loan effectiveness conditions), with an effectiveness date of January 3, 2008. Disbursements were quite slow in the early intervention years. Disbursements are now at 38 percent (US$ 28.14 million).

3. Progress towards the achievement of the Project Development Objective (PDO) and implementation progress were upgraded to moderately satisfactory, in January 2012, due to significant efforts of the Ministry of Public Works and Construction (MOPC) to carry out an Action Plan that was agreed in September 2011 to accelerate implementation. This Plan has been monitored by the Bank in December 2011 and April 2012. As a result, project execution has improved substantially towards the PDO for its focus on the main activities of institutional strengthening and road improvement and maintenance. A faster pace of implementation has been sustained through the last year, increasing disbursements from 15 to 38 percent. Nevertheless, the current implementation indicates that a total of 140 km of rural road rehabilitation for a total of US$22.5 million will be contracted by September 2012, and services to strengthen MOPC's capacity in the areas of budget preparation, project programming, project execution, and monitoring and evaluation for a total of US$17.5 million will be contracted by October 2012. In addition, MOPC has been giving attention to fiduciary (financial management, procurement) and safeguards (social and environmental) requirements as per Bank policies and guidelines. Project objectives continue to be achievable.

4. The proposed extension is necessary to enable the completion of the Project activities, and to compensate for the initially slow start of the Project after Board Approval. The Borrower has shown strong interest in implementing and completing the Project carrying on with actions on all the major components (including road management system, road inventory, traffic counts system, road toll system, road rehabilitation and maintenance contracts; and assorted consultancy and non-consultancy services).

5. The Borrower has an action plan in place to implement the Project; a timeframe has been set under the auspices of the Improved Governance Framework Action Plan (IGAP). The IGAP is currently being strengthened for the better risk and progress monitoring. The major ongoing procurement scheduling will ensure that there is sufficient time to implement the institutional strengthening and infrastructure interventions.

6. This is the first extension of the Project for a total of 20 months.